

International Standards on Combating Money Laundering

Summary of Recommendations - Synthetic Sample

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Recommendation 1 - Assessing Risks

Countries should identify, assess and understand the money laundering and terrorist financing risks they face, and should apply a risk-based approach to ensure that measures to prevent or mitigate those risks are commensurate with the risks identified.

Where higher risks are identified, countries should require financial institutions to take enhanced measures. Where lower risks are identified, countries may allow simplified measures, but simplified measures should never be permitted where there is a suspicion of money laundering or terrorist financing.

Financial institutions should be required to document their risk assessments, keep them up to date, and have mechanisms to provide the assessment to competent authorities on request.

Recommendation 10 - Customer Due Diligence

Financial institutions should be prohibited from keeping anonymous accounts or accounts in obviously fictitious names. Customer due diligence measures should be undertaken when establishing business relations.

Customer due diligence should be undertaken when carrying out occasional transactions above the applicable designated threshold of USD/EUR 15,000, including situations where the transaction is carried out in a single operation or in several operations that appear to be linked.

Customer due diligence should also be undertaken when carrying out occasional transactions that are wire transfers above USD/EUR 1,000, when there is a suspicion of money laundering or terrorist financing regardless of any exemption or threshold, and when the institution has doubts about the veracity or adequacy of previously obtained customer identification data.

The customer due diligence measures to be taken are: identifying the customer and verifying that identity using reliable, independent source documents, data or information; identifying the beneficial owner and taking reasonable measures to verify that identity; understanding and, as appropriate, obtaining information on the purpose and intended nature of the business relationship; and conducting ongoing due diligence on the business relationship throughout its course.

Recommendation 11 - Record Keeping

Financial institutions should be required to maintain, for at least five years, all necessary records on transactions, both domestic and international, so as to enable them to comply swiftly with information requests from the competent authorities.

Records must be sufficient to permit reconstruction of individual transactions, including the amounts and types of currency involved, so as to provide, if necessary, evidence for prosecution of criminal activity.

Financial institutions should be required to keep all records obtained through customer due diligence measures, account files and business correspondence, and the results of any analysis undertaken, for at least five years after the business relationship has ended or after the date of the occasional transaction.

Recommendation 12 - Politically Exposed Persons

Financial institutions should be required, in relation to foreign politically exposed persons, in addition to performing normal customer due diligence measures, to have appropriate risk management systems to determine whether the customer or the beneficial owner is a politically exposed person.

Institutions should obtain senior management approval for establishing or continuing such business relationships, take reasonable measures to establish the source of wealth and source of funds, and conduct enhanced ongoing monitoring of the relationship.

In relation to domestic politically exposed persons, and persons who are or have been entrusted with a prominent function by an international organisation, institutions should be required to take reasonable measures to determine whether a customer or beneficial owner is such a person, and where the business relationship is of higher risk, to apply the same enhanced measures.

These requirements should apply to family members and close associates of all types of politically exposed person.

Recommendation 16 - Wire Transfers

Countries should ensure that financial institutions include required and accurate originator information, and required beneficiary information, on wire transfers and related messages, and that the information remains with the wire transfer or related message throughout the payment chain.

Countries should ensure that financial institutions monitor wire transfers for the purpose of detecting those that lack required originator or beneficiary information, and take appropriate measures where such information is missing.

For cross-border wire transfers below any applicable de minimis threshold of USD/EUR 1,000, institutions should be required to include the name of the originator and the beneficiary and an account number or unique transaction reference, although this information need not be verified for accuracy unless there is a suspicion.

Recommendation 20 - Reporting of Suspicious Transactions

If a financial institution suspects, or has reasonable grounds to suspect, that funds are the proceeds of a criminal activity or are related to terrorist financing, it should be required by law to report its suspicions promptly to the financial intelligence unit.

The reporting obligation should be a direct mandatory obligation, and any indirect or implicit obligation to report suspicious transactions, whether by reason of possible prosecution for a money laundering offence or otherwise, is not acceptable.

The obligation to report applies regardless of the amount of the transaction, and applies to attempted transactions as well as to completed ones.

Recommendation 21 - Tipping-off and Confidentiality

Financial institutions, their directors, officers and employees should be protected by law from criminal and civil liability for breach of any restriction on disclosure of information imposed by contract or by any legislative provision, if they report their suspicions in good faith to the financial intelligence unit.

This protection should apply even if they did not know precisely what the underlying criminal activity was, and regardless of whether illegal activity actually occurred.

Financial institutions, their directors, officers and employees should be prohibited by law from disclosing the fact that a suspicious transaction report or related information is being filed with the financial intelligence unit.

Recommendation 24 - Transparency of Legal Persons

Countries should ensure that there is adequate, accurate and timely information on the beneficial ownership and control of legal persons that can be obtained or accessed rapidly and efficiently by competent authorities.

Countries should consider measures to facilitate access to beneficial ownership and control information by financial institutions undertaking the requirements set out in Recommendations 10 and 22.

Countries should ensure that companies maintain a register of their shareholders or members, containing the number of shares held by each shareholder and the categories of shares, and that this information is kept accurate and updated.